

Let's return to ESI's example of a \$35,000 starting salary producing \$3.2 million income with 3 percent raises over forty-five years. If that person started at \$40,000, they would earn an extra half million dollars over their lifetime. Increasing the starting salary to \$50,000, the lifetime earnings jump by an additional \$1.4 million. While those numbers are jaw-dropping, they only change the starting salary and assume you grow your income by 3 percent each year. What if you focus on growing your income much faster as well?

If you're already in a career that you don't love, but it pays enough to give you the option of choosing FI, it may be in your best interest to stay in that job and focus on growing your income. Let's return to ESI's example. We've demonstrated the effects of increasing the starting income. What if we look at what happens if you focus on accelerating the growth of the income you already have? Again, assume a starting salary of \$35,000. Lifetime earnings jump by \$1 million if you earn 4 percent annual pay increases instead of 3 percent. If you increase annual raises to 5 percent per year, you earn an extra \$2.3 million over your career! It's a fun exercise, but we can't magically get a 5 percent raise instead of a 3 percent raise every year. That's the bad news.